(v) Resources of production are fully mobile.

(vi) The factors of production are given in quantity and quality

(vii) The law of diminishing returns operates in production.

Every production possibility curve is based upon these assumptions. If some of these assumptions changes or neglected, then it affects the nature of production possibility curve.

To draw this curve we take the help of production possibilities schedule, as shown below.

Production possibilities schedule

Production possibilities	Quantity of food production in tons	No of car production
I	0	25
II	100	23
III	200	20
IV	300	15
V	400	8
VI	500	0

This schedule suggests that if all resources are thrown into the production of food, a maximum of 500 tons of food can be produced, given the existing technology. If on the other hand, all resources are instead used for producing cars, 25 cars can be produced. In between these two extreme possibilities exist. If we are willing to give up some food, we can have some cars.

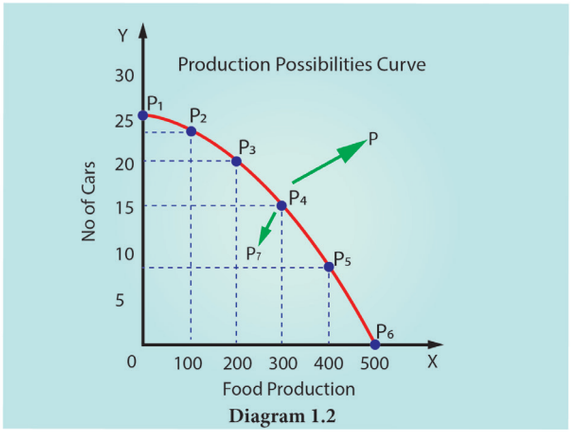


Diagram 1.2

We can obtain a production possibility curve by drawing production possibilities schedule graphically. The quantity of food is shown on x-axis and the number of cars is shown on y-axis, the different six production possibilities are being shown as point P_1 P_2 P_3 P_4 P_5 & P_6.

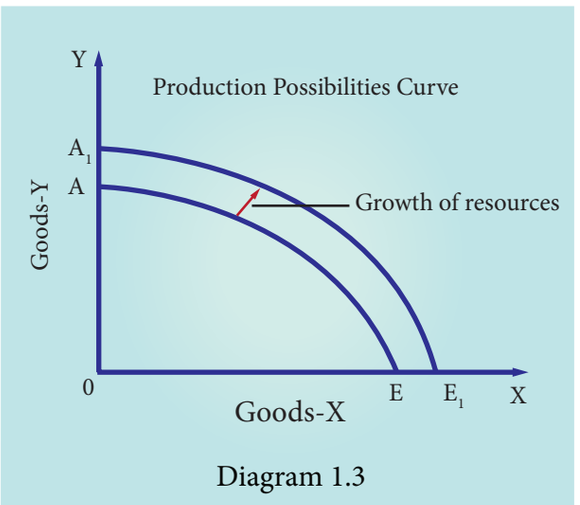


Diagram 1.3

Food production

If we assume that innumerable production possibilities exist between any two-production possibilities schedule, we get the production possibility curve P_1 to p_6. This shows the locus of points of the different possibilities of production of two commodities, which a firm or an

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